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Richard Henry Repetto

Analyst, Piper Sandler & Co.

MANAGEMENT DISCUSSION SECTION

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Welcome back to Piper Sandler's Global Exchange and FinTech Conference. Our next speaker is the Chairman and CEO of ICE, the Intercontinental Exchange, Jeff Sprecher. Jeff, we've known each other since you went public in – I think, you said 2005. I thought it was the end of 2004 – but anyway from number of years. But there has been discussions about the number of people with Scott Hill, your CFO, leaving, and as well as Chuck Vice, even Kelly became a Senator. And this was a discussion at a peer's conference.

Two people you didn't mention were ex-President at the NYSE, Tom Farley, as well as the – your first CFO, who I knew, was Richard Spencer, who became the Secretary of the Navy. So you've been producing Secretary of the Navy, Senators, CNBC commentators, consistent commentators. But anyway, here's my question and we know they're not going to competitors. They're going – they've achieved their goals and been doing things, I believe, for what they believe is their next life stage movement. But you and me may be the constants among all this. But you appear to be the – still the entrepreneur, the idea of generation, personally comes up with things like the network and Ellie Mae and so forth.

QUESTION AND ANSWER SECTION

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

So, anyway, the question is, is that really the role? And is that how you see your role going forward as the idea of growth generation a point here?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Well, first of all, it's nice to be here with you again, right, for another year. So I learned in business school and just through my own reading that great companies are simply collections of great people. And I really believe in my heart that a group of dedicated great people can get anything done. And I believe that in sports and I believe that in life, and it doesn't have to be a group of rock stars to put together. In fact, oftentimes, it's people that are overlooked, but who have tremendous passion in heart and dedication. And my job has really been to surround myself and surround the company with those kinds of people and make sure that I get out of their way to allow them to achieve their goals and work together as a team.

So I kind of see my job, for the last few years particularly, has been mentoring the next generation of leaders along with the people you mentioned. Chuck Vice – actually Chuck and I talked about his retirement five years prior to his leaving. Scott Hill and I spoke about his retirement three years prior to his leaving. Richard Spencer, years prior to his leaving. So these actually had all been very calculated inside our company. And then together, we figured out who the successors were and how we could go about grooming those people and giving them more and more responsibility.

So I kind of see my job now as pushing as much decision-making down into the organization as possible and allowing people the opportunity to take calculated risks and fail and keep the culture that causes the company to be so successful, alive and instill that in next-generation leaders. I'll just say we're very proud of the team we have. The group that runs the company today is better than the group that started the company for sure.

And with great respect to everybody you've mentioned who still I'm very, very close to and talk to regularly and they still come back and help mentor others in the company. So we have a culture that is important to us. And as you pointed out, when people leave here, they're not going to other companies. They're basically retiring or doing their own private equity or what have you because everybody so far has felt that there is no better culture than the one we've created. And that's a testament to the group we have.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

And we talked about people moving to the next stage of the life – their lives or careers. You also give people opportunities as well. And I think I've witnessed this over the past 15-plus years.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. We tend to – you'll see that – we tend not to hire these really high profile, highly paid successful people, because largely we can't afford it. And we've sort of targeted people that have passion. I think when I interview somebody, I rarely look at their CV or their resume. I really just want to talk to them about their goals and hear

how they describe what they do and get that sense on is this person honest, caring team player who is passionate about their own life. And we can pretty much train anybody. We're not splitting atoms in here. And so we can pretty much train anybody on what we do. And that's worked for us.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

Well, I may come to you and talk to you about my retirement at some point, too.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

You may be one of those high-priced guys.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

Believe me, I won't be. I won't be. Getting into more of the company content, you have emphasized the networks, not just recently but really from the beginning. And even when it was some networks that you looked at and you might want to acquire and didn't. But anyway, I'm getting to Ellie Mae and the network mortgages. So here you are. You've got this network pretty much a physical process, manual process. You've got \$1 billion in revenue. It's a \$10 billion TAM. You've got – you touch 85% mortgages. And it just seems like the Jeff Sprecher opportunity in just like the energy markets.

But I'm just trying to see what are the differences. This looks like a process that's you've got – and you've talked about it, front, middle and back-end processes. And correct me if I'm wrong and where your view points out, it seems like the front-end processes in other asset classes move forward pretty quickly to automation, but the middle and back end take time.

And a great example would be the equity settlement process. But anyway, the question is, how do you look at the middle and back end processes of these networks automating, and do you think it will take more time or how did you evaluate it when you looked at Ellie Mae and the whole network you've put together?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. First of all, you're right in that we think of them as networks. When we started ICE, Chuck Vice and I had never traded, didn't know anything about the markets. And maybe the reason we were successful is we didn't think of it in conventional terms and started thinking about – and then we tried this for two-and-a-half years. We were very unsuccessful at launching this company and I was funding it. And we realized that buyers are looking for sellers and sellers are looking for buyers and we needed a group to arrive at exactly the same time and we ended up giving equity to a consortium, 13 companies in exchange for their all logging in on the same day and starting the process. So we've always had this network sense, not exchange and clearing, which is how the market thinks of it.

And you're right in mortgage that if you look at how we entered the mortgage business, we acquired some infrastructure that was the middle and back end and then went out and recently acquired Ellie Mae, which is the dominant front-end. But we started on the higher value, more difficult, less automated part of the market. And now we put them together. And I think we still talk about them as sort of front, middle, and back, but the reality is it's a more complicated than that. It's an end-to-end network. We think of it like a factory where mortgages are being

assembled. But there are all these parts that come in along the assembly line, many of which are provided by third parties.

And in the case of our network, we have now more than 1,000 third party vendors that are plugged into that network that are providing services to the mortgage industry. And our goal is to make that an open network, an open factory where the best vendors can put their parts into it and we can come up with standards, data standards and networking standards that will collapse the time and error rate that exists in a paper world today.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

So one of the benefits of the network is eliminating errors like you just mentioned. In some networks, especially like trading when we've seen that energy trading, volumes – my favorite saying is, I've never seen an asset class that when automated that didn't expand in volume.

So that – and we'll stay with the mortgage network for right now. But what's the opportunity for expansion? I don't see people doubling their mortgage origination. I do see a possibility of ICE taking more revenue out of the network or generating more revenue. And you did hint at it in some other talks that there could be potential other networks of data effects off it. But I guess, this idea of network expansion either the mortgage itself or for ICE.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. So the way we think about it is that network that we've already assembled touches about 85% of all US mortgages right now. And we've talked to you and others about the fact, we think there's a \$10 billion addressable market for that network. And as you mentioned, we're a little over \$1 billion right now. So we already have the clients. We have – 85% of the mortgages are already on the network. The goal for us is to have those mortgages use more parts of the network and the vendors that are servicing those mortgages plug in in various places along the network.

So it's interesting because the mortgage business, I think there's a bias by people that look at mortgage – the mortgage business and cover the mortgage business, and that it's about taking market share in the number of new loan originations, which is I guess historically how you would look at a lender or even a loan origination system digital platform. But we don't really need to take market share, and we already have the bulk of the business already on the network. What we need to do is cross-sell and up-sell the people that are already here with the additional services that we're building on that platform.

And so I do think that the reason we calculated in our own mind a total addressable market was we sat down and said what is the opportunity set here for a network, and then what are the parts of the manual -largely manual process that we can automate, offer savings to our customers but also then revenue to ICE. And it's a very exciting period. And we're doing this in the middle of a pandemic with a lot of people working from home, and remotely, and building up this network. But it's going amazingly well.

So we closed on the Ellie Mae acquisition. I believe it was August. So we've already largely integrated the networks and the people, and the footprint, and cross-selling, the client base. And it seems to be working after just one or two quarters.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

It's going to be fascinating to watch, because I I've been there, I've watched the energy market and you pushed [ph] NYMEX to go and (13:19) convert as well. So you've had your impact there. So we're going to beat the network effect to a tee here.

I do want to ask about regulation a bit. And I don't mean – but you're overseeing much more than just the NYSE. But if we keep this network sort of view, it's almost like we're seeing a collision of a retail network with an institutional network when we talk about the GameStop trading. And then now all the – what do you call – the resulting regulation to try to separate the two and make sense of the collision that's happened. And I guess, the question is about networks, you have the front end consumer network of the mortgage, how do you view a consumer network versus more institutional, and we talked a little bit about it before. And maybe a little more specific, this collision we're seeing in equities between retail and institutional.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. It's a good question. The thing that a network does is it democratizes access. So the network doesn't know whether it's you and I sitting in our kitchen or a computer with a mouse or whether it's a algorithmic customer or a large institutional customer. The network doesn't know. And, of course, we've built and what we're known for is highly scalable networks. So we tend to open the door.

I think you're right in that the world that – particularly that you live in with institutional investors see a difference between consumer networks and the value of those and institutional networks and the value of those. And as an example, you're aware that there was a rumor in the marketplace that we were part of a consortium that was looking to potentially make an offer to acquire eBay and the market and our ICE investor base hated that idea. And they – people got on the phone. Our shareholders called me and told me you're institutional and that's retail and you don't like it.

And so I got a dose of it in what – and next they said, we're not going to pursue being part of the adventure. And so I'm very aware that the market itself sees a difference. But I will tell you we don't.

In mortgage, for example, we have a consumer front end that we've just recently launched. We don't talk a lot about it for the reasons you just said. But there are two mortgage front end – retail consumer-oriented mortgage front ends that have come out of Silicon Valley that have multi-billion-dollar valuations. And they're darlings to the venture community.

Our consumer front end, which we have built after the launch of those companies, has 10 times as many customers. And so I say to investors that point out those darlings, if you like them then you should love us. But we don't tend to talk about it that way. I think you're right in the gamification of equities. And the ultimate probably response by regulators and network providers like ourselves is blurring the distinction I think now in the minds of the investing public.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

I think that's an important point that networks don't differentiate between a participant, I guess. Maybe there's some automated way to do that a little later, but they, by and large, that concept, it doesn't exist. Anyway, turning to energy, in the energy exchange and the energy network that you built, fabulous network not only the crude, but of the natural gas and power and center, but it is transforming with clean energy and ESG. I guess, the question – and you've built positions in both – strong positions in both, in carbon – clean carbon, carbon emissions and so forth. There is no such thing as clean carbon, I guess.

But the point being how do you see have you timed it right where the sort of – I don't know what is going to be the extinguishment of the legacy. And I don't think it'd be – I know you'll talk about Abu Dhabi in Middle East where they're not moving as fast as it appears. But have you thought about the timing and the transition, and what do you think of the timing of that shift in these two networks if they're different?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

Yeah. First of all, by way of context, I started a company when I met a guy in graduate school and the two of us started a company when I was young to do renewable energy projects. And I ultimately bought him out and ran that company for 17 years and then started what is Intercontinental Exchange to be a renewable energy exchange in 1997.

So I don't know that I got the timing right. It's been, I don't know what that is, 24 years. But it's not necessarily – shouldn't be a surprise that we are the global – the dominant global exchange for carbon and renewables, credits and electricity around the world. And so if you look at our business today, if you look at the revenues and the growth today, it's very interesting that, on the one hand, I would say the fastest-growing part of our energy business is this renewable push, which is largely – and carbon offset trading, which is largely coming from the Western world. And in the middle, you see growth in electricity which is parts of the world that are moving off of coal and oil-based energy production and moving to electricity. There's kind of this middle ground.

But then, you still have a growing crude oil and heavy oil infrastructure, which is largely the growth of Asia. And while they are doing things with electricity and renewables, and what have you, their growth is overwhelming that capacity. And they're still very much in a heavy crude and refined products world. Shipping is largely refined products. And coming out of a pandemic, there's a lot of goods moving around as economies are opening up. So we see both ends of this barbell growing, the West towards more renewables and electricity; the East towards more crude and refined products.

And I think that will go for a while. But we have a natural transition, if you will. It's already built into the platform because we have over – well over a 1,000 products that span what we call energy, but get into some of these newer, more esoteric ways of dealing with the green economy, which we are largely underneath helping to hedge and finance.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

I do – we got a few minutes left. I do want to be able to touch on the fixed income network a bit. We've seen – what I've learned from you and from your managers is that it's about the workflow process on networks, not – these trading opportunities, but it's more about the workflow, and the data you provide. I think more people have copied that model and added data. So I guess, the question is, the expansion of the fixed – what are the opportunities in expansion of that? We know it's a solid recurring 80% to 90% grower at 6%, give-or-take 1% or so. But what are the opportunities you think to accelerate...

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

So we have a bias that we're pretty transparent about, which is we think the least valuable thing that we can do is match a buyer and a seller. Over time – I mean, that's how we started. So I'm not discounting it. It's how many, many companies that you follow have started or are building.

But in the long run, matching a buyer and a seller is not the end all be all. It is the back-end fulfillment, the capital management, the goods management, the delivery aspects where the value is. I would just say to you most people think Amazon is a great place to go, because they have so much selection for anything you want in the world in such a low price.

But the real reason that I believe that people go to Amazon is same-day/two-day delivery. I've built – I'm a Prime member. I've got all my credit card information there. The back-end settlement is very, very easy. And so in our energy market, as you pointed out, we drive about 15% of the value in the execution and 85% of the value in the backend. So that's the bias we bring to fixed income. We were late into the execution business and there are other really powerful entities that are in that space. And we didn't value it that highly. And so we immediately pivoted and tried to work in the middle and backend, which we think are very sustainable, have network effects, they compound, they're sticky and we've been doing very, very well there. But that was sort of a matter of necessity on where we would start in that market.

Similarly, I mentioned that we started in the middle and backend of the mortgage business. I just didn't understand trading well enough to realize until after we had started ICE that we needed to get into clearing and settlement. We started ICE in 2000, and we got into clearing and settlement in 2007.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

At a pretty opportune time before the global financial crisis?

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

Yeah. As you know, we talked a lot about it. People thought we were a little bit crazy. If you can buy clearing and settlement for a few pennies, why would – and it was seen to be a utility to many people. Why would – it's a bit like warehousing for Amazon. Warehousing seems like it's a utility to most people. The reality is doing warehousing and fulfillment correctly and well is the value I think in that company.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

That's – my favorite story is talking about how clearing became the most valuable asset afterwards. Now, the trading gets low in multiples, but the clearing, and the [indiscernible] (25:15)...

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

Right.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

...are the most valuable thing. I have another – we got another couple of minutes. But the last thing I want to talk about is way you go forward. Now, we know you're the focal point on development of people. We know that for sure and the idea of growth. You have these networks that are still in the formative – I don't know what the right word – but still there's a lot of transformation potential. So is it just about execution on the networks that you're focused on right now? But I got a feeling you're thinking about – you think about other networks and what do you think about [indiscernible] (25:56).

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

I think you're right in that we are thinking about other networks. In fact, I already had two meetings this morning on two different network ideas with the team here. We don't have a R&D department, per se. What we do is by pushing decision-making down, we try to get a lot of customer feedback and take problem sets that customers are having and then think about whether or not there's a solution that we can develop. And so we have a number of ideas of thing and we'd like to do it where there's an analog to digital conversion because it makes the adoption of the network easy.

And in mortgage, I hope you know we started looking at that in 2006 and it really to me was the pandemic that has caused the acceleration. And so some of these things take a while and need a catalyst. But we do have ideas. I think the true to form is that we're in the network business. The same people that are working on all these projects, they may be different asset classes and we report them differently and people think about them in these discrete buckets. But the reality is it's a database team that has high-performance, scalable database skills that that we use across those networks. And it has a massively common customer base across these networks that allow us to cross-sell the various businesses that we're doing.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

Not going to push you for any more details.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

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Thank you.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

Our whole – all our conversations over the years has always been about the breadcrumbs, so to speak. Leave it up so – you can leave me to wondering. I'll try to get – but the one thing I would say is you are the R&D department, right, my feeling it.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

A

I'm part of it. I help curate it, except for all the bad ideas, I guess. But no, it's a team effort. And it's an organized, internalized part of our businesses, we meet every two weeks and go over our strategy and our buy versus build scenarios and how we're doing in the plan. And so it's pretty disciplined.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Jeff, that's all the time we have, but it's always fun to explore and try to figure out what you're thinking and where you're going. But I appreciate the participation, and we'll definitely be watching the network effects for ICE, so to speak. Anyway, great talking with you.

So that ends our session. Next up, will be [ph] Jeff Pere (28:37), the CME and Chairman and CEO, Terry Duffy. So, thank you, Jeff, and we'll certainly be in touch.

Jeffrey Craig Sprecher

Founder, Chairman and Chief Executive Officer & Chairman-New York Stock Exchange, Intercontinental Exchange, Inc.

Great. Thank you, Rich. Thank you all.

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